

Amendment No. 1 to HB1163

White
Signature of Sponsor

AMEND Senate Bill No. 1019*

House Bill No. 1163

by deleting all language after the enacting clause and substituting instead the following:

SECTION 1. Tennessee Code Annotated, Section 49-3-103(d), is amended by adding the following as a new subdivision:

By July 1, 2025, and by each July 1 thereafter, explain how a public charter school may dispute an alleged error in an allocation to its authorizer and explain the procedures the authorizer must take.

SECTION 2. Tennessee Code Annotated, Section 49-3-105, is amended by deleting subsection (d) and substituting instead the following:

(d)

(1) The funding that a student generates pursuant to this section must be administered and allocated by the department to the LEA in which the student is a member for the duration of the student's membership in the LEA, except that:

(A) The funding a student generates pursuant to subdivision (c)(3) must not be allocated to the LEA, but must be maintained by the department; and

(B) The state share of the funding a public charter school student generates for an LEA pursuant to this section must be allocated to the LEA, but must be disbursed directly to the public charter school by the department unless the public charter school is authorized by the commission, as defined in § 49-13-104, or by the achievement school district, as defined in § 49-1-614, in which case such funds must be

disbursed to the commission or achievement school district. All funds, federal, state, and local, generated or received by an LEA must be properly accounted for in the official financial records of the LEA.

Payment of funds to a public charter school by the state on behalf of an LEA must be recorded in the LEA's financial records in the appropriate revenue and expenditure categories.

(2) A student's membership in an LEA begins on the first day of the student's membership and ends on the last day of the student's membership in the LEA, except that the membership of a student who graduates early is extended to the student's expected graduation date for funding purposes.

SECTION 3. Tennessee Code Annotated, Section 49-13-112, is amended by deleting subsection (a) and substituting instead the following:

(a)

(1) A local board of education shall allocate to the public charter school an amount equal to:

(A) The local student-generated funds for member students in the public charter school for the prior year in alignment with the TISA pursuant to chapter 3, part 1 of this title;

(B) The average per pupil state and local funds received by the district in the current school year above those required by the TISA for each member student in the public charter school in the prior year;

(C) The per student state and local funds received by the LEA for member students in the public charter school in the current school year beyond the prior year's membership; and

(D) All appropriate allocations under federal law or regulation, including, but not limited to, IDEA and ESEA funds.

(2) The department of education shall disburse directly to the public charter school an amount equal to the state student-generated funds for member students in the public charter school for the prior year in alignment with the TISA pursuant to chapter 3, part 1 of this title.

(3) Federal funds received by the LEA must be disbursed to public charter schools authorized by the LEA by either joint agreement on shared services by individual public charter schools or sub-grants to a public charter school for the public charter school's equitable share of the federal grant based on eligible students. The allocation must be made in accordance with the policies and procedures developed by the department of education.

(4) Each LEA shall include as part of its budget submitted pursuant to § 49-2-203, the per pupil amount of local money it will pass through to public charter schools during the upcoming school year, including all calculations listed in this section. Allocations to public charter schools during that year must be based on the calculated amounts. The LEA shall distribute the portion of local funds it expects to receive in no fewer than nine (9) equal installments to public charter schools in the same manner as state funds are distributed pursuant to chapter 3 of this title. An LEA shall adjust local payments to public charter schools, at a minimum, in October, February, and June, based on changes in revenue, student membership, or student services. All funds received by a public charter school must be spent according to the budget submitted or as otherwise revised by the public charter school governing body, subject to the requirements of state and federal law.

SECTION 4. Section 1 of this act takes effect upon becoming a law, the public welfare requiring it. For rulemaking purposes, Sections 2 and 3 of this act take effect upon becoming a law, the public welfare requiring it. For all other purposes, Sections 2 and 3 of this act take effect July 1, 2025, the public welfare requiring it.